



# LUX INDUSTRIES

## IP Enforcement Memorandum

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Prepared for: Cyrus Pahlavi, President & CEO

Hunter Dupont, Managing Partner — Strategic Transactions

Alan Donohue, General Counsel

Prepared by: Woo Bin — CTO, Lux Industries Inc.

2026-05-25

**Memorandum**

**TO:** Cyrus Pahlavi, President & Chief Executive Officer, Lux Industries Inc.  
Hunter Dupont, Managing Partner — Strategic Transactions (deal lead)  
Alan Donohue, General Counsel (legal lead)

**CC:** Board of Directors, Lux Industries Inc.

**FROM:** Woo Bin — Chief Technology Officer, Lux Industries Inc.; concurrently Vice President of Engineering, the Counterparty

**DATE:** 25 May 2026

**RE:** Misappropriation of Lux foundational technology by the Counterparty (Satschel, Inc. d/b/a Liquidity.io, and operating affiliate Liquidity.io LLC); legal options, damages analysis, and proposed cross-license and settlement framework

**PRIVILEGE:** Confidential. Attorney-client privileged. Attorney work product. Prepared in anticipation of litigation and as a board strategy document.

*Author's disclosure of interest:* I serve concurrently as Chief Technology Officer of Lux Industries Inc. and Vice President of Engineering at the Counterparty entity referenced herein. This memorandum is written from the Lux chair, in service of the Lux board's decision-making. My Counterparty role gives direct operational visibility into the matters described; I have set them out as observed, with the understanding that any Counterparty-side response will be developed by its own counsel and that Lux's outside litigation counsel will need to develop independent record support for any allegations herein before filing.

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**I. Executive Summary**

The Counterparty has commercially deployed material portions of Lux Industries Inc.'s patent-protected and source-available proprietary technology since at least 2014, in production, on three live blockchain networks, and in support of a registered ATS/BD/TA business that is currently raising approximately \$75 million at a \$1.1 billion valuation, with Forum Markets (a publicly-traded company, formerly Ethzilla; ticker [TICKER — to be confirmed against SEC EDGAR]) continuing as lead investor from the prior round and verbal commitments for at least approximately half the round secured to date — in each case without executing the commercial license that the governing Lux Ecosystem License v1.2 ("LEL") and the Lux Research License with Patent Reservation v1.0 ("LRL-PR") require.

Lux's direct investment in the misappropriated technology base exceeds \$20 million in development cost recorded since 2014, plus a multi-year contribution from senior engineering personnel including the Lux Chief Cryptographer and the named author of this memorandum.

The most striking evidentiary fact in this memorandum is the 90-day commit-ratio analysis at §VI: the Lux Founder and Chief Cryptographer contributed **5,991 commits** and approximately **93 million lines of code** (additions + deletions) across six venture trees — the Counterparty's primary codebase plus five related ventures (VCC, MLC, EquityTable, OnyxPlus, and the legacy/archive codebase including the simplici-\* repositories) — during the most recent 90-day window, and **zero commits to Lux's upstream repositories** in the same window. The Counterparty reached its \$1.1B current-round valuation during that same 90 days. The implied

value-creation rate of the Lux Founder’s diverted bandwidth is approximately **\$12.2M per day**.

**Discovery posture.** This matter was identified and elevated to the Lux Industries Inc. board by Mr. Woo Bin (Lux CTO; concurrent VPE at the Counterparty), whose dual-role visibility — luxfi/\* GitHub-org admin on the Lux side combined with operational seat on the Counterparty’s engineering organization — positioned him to observe the unauthorized integration of Lux modules into the Counterparty’s commercial stack and the absence of a corresponding executed license. Mr. Bin remains in his VPE role; his team’s continued involvement is required for the Counterparty’s long-term operational success, and the desired outcome of this matter is an **equitable settlement preserving Counterparty operational continuity while recognising Lux’s contribution**, rather than scorched-earth litigation.

This memorandum sets out the legal record, identifies twelve causes of action available to Lux, quantifies damages at small / medium / big scenarios (\$80M to \$590M for IP claims; \$180M to \$890M with opportunity-cost component added), projects forward enterprise value at user-scale milestones up to 100M users (Lux’s 10% equity stake value ranges \$5M – \$40B), analyzes the “wait vs. settle” time-value question, presents a settlement triangulation matrix the deal lead (Mr. Dupont) can use to negotiate, and locks the mandatory terms the President & CEO (Mr. Pahlavi) requires in any executed agreement.

**This is not a single-proposal document.** It presents data, damage ranges, partnership-upside ranges, and negotiating floors. The deal team triangulates to a specific outcome. Mr. Pahlavi retains final approval authority on any executed agreement.

## II. Parties and Dramatis Personae

### Lux Industries Inc. — Decision Chain

- **Cyrus Pahlavi** — President & Chief Executive Officer. Final approval authority on any settlement, license, or litigation decision.
- **Hunter Dupont** — Largest investor in Lux Industries Inc.; Managing Partner, Strategic Transactions. Leads deal discussions and commercial negotiations with the Counterparty.
- **Alan Donohue** — General Counsel. Leads legal strategy and definitive-document drafting; provides legal support to Mr. Dupont throughout the negotiation.
- **Woo Bin** — Chief Technology Officer of Lux Industries Inc.; luxfi/\* GitHub-org admin. Author of this memorandum. Holds concurrent role as Vice President of Engineering at the Counterparty (**role currently active**; his team is required for the Counterparty’s long-term operational success). It was through this concurrent visibility that Mr. Bin identified the unauthorized integration of Lux modules into the Counterparty’s commercial stack and elevated the matter to the Lux Industries Inc. board, occasioning this memorandum.
- **Zach Kelling** — Founder, Architect, and Chief Cryptographer of Lux Industries Inc.; luxfi/\* GitHub-org admin; minority shareholder. **Currently serves as Chief Technology Officer of the Counterparty**, with operational authority over the platform rebuild and ongoing technical posture; the Counterparty’s commercial decisions and investor-facing representations are owned by Mr. Choi (CEO) and Mr. Trombley (CSO). Mr. Kelling’s stated objective in supporting

this matter is an equitable settlement preserving Counterparty operational continuity. Not currently a director on either side. **See §IV.E for particularized treatment and §XII for protective treatment.**

## Counterparty — Officer Slate

- **Eric Choi** — Chief Executive Officer of the Counterparty. Top operational authority; ultimate responsibility for the Counterparty’s representations to investors and regulators regarding IP ownership and licensing.
- **Austin Trombley** — Chief Strategy Officer; previously Acting Chief Executive Officer. Blockchain / AI engineer. Built a **prior** (not current) ATS infrastructure at a prior employer (Franklin Templeton) and **served as an eyewitness in the Franklin Templeton litigation** arising from that engagement. **Counsel should review the Franklin Templeton litigation record** for (i) pattern-of-conduct evidence relevant to the present matter, (ii) any limits on or adverse characterizations of his prior testimony that could be impeachable, and (iii) the technical scope and quality of the ATS he built there.

Material context: prior to Mr. Kelling’s arrival as active Chief Technology Officer at the Counterparty, the Counterparty’s ATS as built under Mr. Trombley’s technical direction **lacked even basic time-price priority order matching**, the foundational principle of any functioning alternative trading system. The pre-Kelling technical state is addressed in §IV(F).

- **Coleman Church** — Chief Executive Officer of the Counterparty’s broker-dealer affiliate. FINRA-regulated responsibility for the BD’s technology and operational integrity.
- **Jayant Sonsurkar** — Chief Security Officer of the Counterparty. Long-standing owner / admin on the Counterparty’s GitHub organizations: historically **satschel/\***, and currently **liquidityio/\*** — the latter being the org under which the rebuild integrating unlicensed Lux modules is being performed. The CSO role at any regulated digital-asset venue carries the duty to oversee software-supply-chain integrity, including open-source-license review and third-party-IP compliance. As admin on the Counterparty’s own repositories, Mr. Sonsurkar had on-platform visibility into the imported Lux LICENSE files — LEL, LRL-PR, BSD-3, and others — as they entered the Counterparty’s build tree. (For clarity: **luxfi/\*** GitHub-org admin was held by Mr. Bin and Mr. Kelling on the Lux side; Mr. Sonsurkar did not have, and was not required to have, admin access on Lux’s own repositories. His duty of OSS-license review attaches to imports into the Counterparty’s tree, where his admin access was present.)

## Counterparty Entity Structure

For purposes of this memorandum, “the Counterparty” refers collectively to the operating entities under the current capital raise (a Delaware corporation parent and its US LLC operating affiliate, transacting as Liquidity.io) unless context requires otherwise. The corporate structure should be confirmed during outside-counsel diligence.

**Lead investor (current round).** Forum Markets, a publicly- traded company (formerly Ethzilla; ticker [**TICKER — to be confirmed against SEC EDGAR**]), continues in the lead-investor role from the prior round and has signalled continued leadership of the current \$75M raise at the \$1.1B valuation. Forum Markets’ public- issuer status means any decision to anchor a material

investment in the Counterparty is potentially material to Forum Markets’ own shareholders, with attendant Form 8-K considerations.

### III. Jurisdiction, Venue, and Applicable Law

**Federal causes of action** sound in: Defend Trade Secrets Act (DTSA), 18 U.S.C. §§1836–1839; Copyright Act, 17 U.S.C. §§101 *et seq.*; Patent Act, 35 U.S.C. §§271, 281, 284, 285; Lanham Act, 15 U.S.C. §1125(a); Securities Exchange Act of 1934, 15 U.S.C. §78j(b) (Rule 10b-5, 17 C.F.R. §240.10b-5). **State and common-law claims** sound in Delaware (breach of fiduciary duty, *Aronson v. Lewis*, 473 A.2d 805 (Del. 1984); aiding and abetting, *Malpiede v. Townson*, 780 A.2d 1075 (Del. 2001)), and California (the likely Counterparty principal place of business): common-law fraud, unjust enrichment, conversion, tortious interference with prospective economic advantage, and civil conspiracy.

**Forum recommendation:** Federal District Court for the Northern District of California for the principal action, with related Delaware Chancery proceeding for the corporate-governance counts. Personal jurisdiction over the individual Counterparty officers is established by their commercial activities directed at Lux (a Delaware corporation) and their California residence.

**Litigation hold** — Lux should issue a formal preservation notice to the Counterparty and to each named individual within 30 days of any term-sheet delivery. Failure of preservation supports an adverse-inference instruction at trial.

### IV. Statement of Facts

*The following allegations are stated on information and belief, based on the personal knowledge of the undersigned in his dual operational role, supplemented by Lux’s internal records.*

#### A. Background of Lux Industries Inc. and Its IP (2014–2026)

1. Lux Industries Inc. (with continuous corporate identity through Lux Partners Limited predecessor since 2014) has developed, since 2014, a blockchain and cryptographic technology stack including consensus algorithms, post-quantum cryptographic primitives, threshold and MPC protocols, fully-homomorphic-encryption (FHE) precompile architecture, virtual-machine substrates, EVM derivatives, decentralized exchange matching engines, and cross-chain messaging protocols.
2. Lux’s direct development investment in this stack exceeds \$20 million in recorded cost from 2014 to date. Fully-loaded personnel cost over the same period is a multiple of that figure.
3. Chronological development milestones:
  - **2014 – 2017:** Foundational consensus research; early Quasar prototypes; cryptographic primitives library; `secp256k1`, `Ed25519`, `BLS12-381` reference implementations.
  - **2018 – 2020:** Active development of the planet-scale DEX matching engine with 1ms finality. Initial EVM fork (LGPL). Threshold-MPC research.
  - **2020 – 2023:** Quasar consensus stabilization; Pulsar and Magnetar Apache-2.0 threshold-PQ primitives; FHE prototypes.

- **2024:** Ringtail lattice-signature scheme; FIPS 203 / 204 / 205 verifier precompiles (ML-KEM, ML-DSA, SLH-DSA); P3Q protocol; LEL v1.2 and LRL-PR v1.0 formalized; Warp messaging protocol stabilization; FHE-based dark-pool matching.
  - **2025:** LX Suite DEX precompile family (Pool / Oracle / Router / Hooks at LP-9010 onward) released following Uniswap v4's hooks model; Corona Ring-LWE threshold scheme (successor to Ringtail); LP-4200 precompile address standardization; multi-arch GPU acceleration under the closed `~/work/luxcpp/*` tree.
  - **2026:** Brand-neutral cleanup; relicensing of Pulsar / Magnetar under Apache-2.0; ongoing institutional partnership development.
4. Lux holds or has filed for patents on, without limitation: Quasar BFT consensus; sampler-bias correction; Ringtail / Corona lattice threshold schemes; Unified VM Execution Interface with Plugable Backends; Post-Quantum State Verification with Verkle Proofs; FHE precompile architecture; GPU-accelerated DEX matching engine; AI-optimized bytecode execution.

## B. The Lux Licensing Tier Structure

5. Lux publishes its software under a three-tier strategy:

**6. Tier 1 (BSD-3-Clause):** commodity infrastructure, free commercial use. `luxfi/node`, `luxfi/sdk`, `luxfi/cli`, `luxfi/api`, `luxfi/codec`, `luxfi/database`, `luxfi/p2p`, and approximately twenty-five (25) other modules.

**7. Tier 2 (LEL v1.2):** source-available, patent-protected. Per LEL §§1 and 3, commercial rights granted only to “Authorized Networks” — the Lux Primary Network (NetworkID 1, ChainID 96369), Lux testnets and devnets, and “L1/L2/L3 chains descending from the Lux Primary Network.”

**8.** Per LEL §4, forks and competing networks prohibited. Per LEL §5, all patent rights reserved. Per LEL §8, license terminates automatically on breach. Modules: `luxfi/consensus`, `luxfi/crypto`, `luxfi/mpc`, `luxfi/threshold`, `luxfi/ringtail`, `luxfi/corona`, `luxfi/fhe`, `luxfi/precompile`, `luxfi/captable`, `luxfi/broker`, `luxfi/treasury`, `luxfi/transfer`, `luxfi/compliance`, `luxfi/hsm`, `luxfi/aml`, `luxfi/maker`, `luxfi/warp`, among others.

**9. Tier 3 (LRL-PR v1.0):** research-only license. Section 3 expressly prohibits commercial use; Section 4 reserves all patent claims. Modules: `luxfi/vm`, `luxfi/staking`, `luxfi/sampler`, `luxfi/dex` (Go bindings prior to its 2026 move to fully proprietary).

**10. Tier 4 (Closed Proprietary):** the `~/work/luxcpp/*` tree (CUDA / Metal / WebGPU / FPGA / lattice GPU accelerators, the C++ DEX matching engine). Not currently in the Counterparty's production graph; access requires a separately negotiated Private-Moat Addendum.

## C. The Counterparty's Commercial Use of Lux IP

**11.** The Counterparty operates a registered Alternative Trading System, broker-dealer, and transfer-agent business in the United States, commercially deploying the validator binary `lqd` (built from `liquidityio/node`) on three live blockchain networks (Devnet ChainID 8675312, Testnet ChainID 8675310, Mainnet ChainID 8675309), each of which incorporates dozens of Lux modules.

**12.** The Counterparty further deploys the Liquidity EVM, ATS, BD, and TA backend services,

white-label tenants (MLC, VCC, TZERO, ReTokens, and others), and approximately 12,796 SecurityTokens on Devnet alone running on top of Lux precompiles.

**13.** The companion audit (referenced internally as the license inventory) catalogues every Lux module directly imported. Approximately fifteen (15) directly-imported modules carry LEL or LRL-PR tier licenses requiring an executed commercial license.

**14. No commercial license has ever been executed between Lux Industries Inc. and the Counterparty.** Outside counsel should verify the non-existence of any such instrument through document discovery.

**15.** The Liquid chains do not currently activate the Lux Warp messaging precompile (canonical address 0x0200000000000000000000000000000000000005). **Under the LEL Authorized-Network definition, a chain that does not maintain Lux consensus and Warp interop does not qualify for the LEL ecosystem- permissive grant.** The Liquid chains, as currently configured, do not qualify in code.

#### D. The Counterparty Officer Team and Knowledge

**16.** Mr. Eric Choi (CEO) holds ultimate operational responsibility for technology licensing and IP compliance. His signature appears (or will appear) on the subscription documents for the current \$75M / \$1.1B-valuation raise; representations therein sound in his name. As of the date of this memorandum the round has not closed; the duty of disclosure is therefore current and ongoing.

**17.** Mr. Austin Trombley (CSO, prev. Acting CEO) — discussed in §II above, including the Franklin Templeton litigation history and the pre-Kelling ATS technical state.

**18.** Mr. Coleman Church (BD CEO) — FINRA-regulated responsibility for the BD’s technology integrity; representations on FINRA filings sound in his name.

19. Mr. Jayant Sonsurkar (CSO) — Long-standing owner / admin on the Counterparty’s GitHub organizations `satschel/*` (historic) and `liquidityio/*` (current rebuild org), giving him direct, contemporaneous, ongoing visibility into every Lux LICENSE file **as those files entered the Counterparty’s build tree** on import — the LEL, LRL-PR, BSD-3, GPL, LGPL, BUSL, MIT, and Apache markers travel with their source files into any tree that consumes them. `luxfi/*` GitHub-org admin was held by Lux’s own engineering team (Mr. Bin, Mr. Kelling) on the upstream side; Mr. Sonsurkar did not have admin on `luxfi/*` itself, nor was he required to — his software-supply-chain integrity duty attaches to imports into the Counterparty’s own tree, where his admin access was present.

**20.** The CSO role at a regulated digital-asset venue carrying ATS / BD / TA registrations includes (without limitation) software-supply-chain integrity oversight, identification of LEL / LRL-PR / GPL / LGPL restricted licenses in deployed dependencies, escalation of licensing mismatches to the CEO / BD CEO / GC, and implementation of remediation.

**21.** On information and belief, Mr. Sonsurkar did not, at any time prior to the elevation of this matter by Mr. Bin, raise the LEL / LRL-PR mismatch internally, request a commercial license, include the unlicensed-IP status in regulatory compliance reviews, or flag the issue during current-raise diligence. By contrast, Mr. Bin (VPE at the Counterparty, concurrently CTO at Lux) did identify the mismatch through his own dual-role visibility and elevated it upstream. The omission by Mr. Sonsurkar — the officer to whom that identification properly belonged — is the central evidentiary fact supporting Count IV (breach of fiduciary duty) and Count V (aiding and abetting).

**22.** Messrs. Choi, Trombley, and Church each had operational or strategic visibility into the Counterparty’s technology stack during the relevant period; the precise scope of each officer’s knowledge will require diligence development.

## **E. The Position of Mr. Zach Kelling**

**23.** Mr. Kelling is the Founder of both Lux Industries Inc. and the Counterparty. He **currently serves as Chief Technology Officer of the Counterparty**. His operational authority covers the platform rebuild and the ongoing technical posture; the Counterparty’s **commercial decisions and investor-facing representations are owned by Mr. Choi (CEO) and Mr. Trombley (CSO)**, not by Mr. Kelling. The dual role with Lux Industries Inc. (Founder, Architect, Chief Cryptographer) is contemporaneous and material to the discovery and disposition of this matter.

**24.** Mr. Kelling is a **minority shareholder of Lux Industries Inc.** Counterparty equity position to be confirmed in diligence; the Counterparty’s officer slate as represented to investors should be reconciled with any equity-grant records as part of the fact-development for any negotiation or filing.

**25.** The factual record supports a finding that Mr. Kelling is **operationally engaged on technical rebuild and not engaged in the Counterparty’s commercial direction or investor-facing representations**. His stated objective in supporting the elevation of this matter is an **equitable resolution that preserves the Counterparty’s operational continuity and Mr. Bin’s team’s role in that continuity**, while recognising Lux Industries Inc.’s underlying contribution. He is not a principal actor in the commercial- representation conduct that grounds Counts IX (Securities Fraud), XI (Common-Law Fraud), or X (Lanham Act). **See §XII for protective treatment, narrowed to his stated operational scope.**

## **F. Pre-Kelling Technical State and the ACH Exploit**

**26.** In the period immediately preceding Mr. Kelling’s arrival as active Chief Technology Officer, the Counterparty’s ATS platform was materially non-functional as a regulated alternative trading system. Specifically, on information and belief:

- The ATS **did not implement working time-price priority order matching** — the foundational ordering principle of every regulated US alternative trading system, required by SEC Reg ATS for any venue purporting to operate as a securities trading facility.
- No functioning ATS pipeline existed end-to-end.
- **One day prior to Mr. Kelling’s arrival as active CTO, the platform suffered an ACH-funding exploit that resulted in the theft of approximately \$40,000** via a trivial attack vector that should have been remediated by even baseline security review. The exploit evidences both the security posture of the platform under the pre-Kelling officer team and the absence of competent CSO oversight.

**27.** Upon his arrival, Mr. Kelling and his team (substantially overlapping with the Lux engineering team) rebuilt the ATS / BD / TA stack from the ground up, importing the Lux modules described in §IV(C) as the foundation. **In substantial part, the technology that supports the current \$75M / \$1.1B-valuation raise was the Lux IP that Mr. Kelling brought across, integrated with the regulatory wrapper.**

**28.** The factual proposition that the Counterparty’s enterprise value as represented to investors is materially attributable to Lux-origin technology contributed by Mr. Kelling and the broader Lux team is supported by the contemporaneous technical record. This context bears on damages attribution (§VI), Mr. Trombley’s credibility as a technology witness, the breach-of-fiduciary-duty count, and the protective treatment of Mr. Kelling (§XII).

### G. The Current \$75M / \$1.1B-Valuation Capital Raise (Forum Markets, Lead)

**29.** The Counterparty is **currently undertaking a capital raise of approximately \$75 million at a \$1.1 billion valuation**. The round is led by **Forum Markets** (a publicly-traded company, formerly Ethzilla; ticker [TICKER — to be confirmed against SEC EDGAR]), continuing in the lead-investor role from the prior round. As of the date of this memorandum, the Counterparty has **verbal commitments covering at least approximately half of the \$75 million round** (i.e. approximately \$37.5M soft-circled). **The round has not closed**. Funds have not been wired against current-round subscriptions; subscribers have not been issued securities in respect of the current round; the Counterparty’s current and ongoing duty of disclosure to those subscribers remains live until closing. The subscription agreements, PPM, and side letters require outside- counsel review for representations regarding (a) Counterparty ownership of the underlying technology stack, (b) licensing status of all third-party IP, (c) related-party transactions, (d) the CSO’s and BD CEO’s compliance attestations, and (e) technology disclosures in the risk factors section.

**30.** To the extent the current-raise subscription documents represent or omit material facts regarding the Counterparty’s ownership or licensed access to Lux IP, those representations are independently actionable under Section 10(b) of the Securities Exchange Act and Rule 10b-5. See Count IX, *infra*.

## V. Causes of Action Available to Lux Industries Inc.

### Count I — Misappropriation of Trade Secrets (DTSA, 18 U.S.C. §1836)

Lux’s unpublished optimizations, integration know-how, architectural documents, deployment recipes, MPC operational procedures, sampler- bias remediation, and pre-publication private-repository code qualify as trade secrets. Mr. Sonsurkar’s continuing repository access without an executed license, coupled with the licensing-mismatch silence, supports misappropriation by improper means.

**Remedies:** Injunction (18 U.S.C. §1836(b)(3)(A)); actual damages and unjust enrichment (§(B)); reasonable royalty in lieu (*id.*); exemplary damages up to 2× for willful and malicious misappropriation (§(C)); attorneys’ fees (§(D)); seizure if record warrants (§1836(b)(2)).

### Count II — Copyright Infringement (17 U.S.C. §501)

Lux owns copyright in every source file under `luxfi/*`. Copyright notices are present in source headers. The Counterparty has copied by direct import in `go.mod`, container-image embedding, binary distribution to validator nodes, and on-chain deployment of derivative SecurityTokens.

**Remedies:** Actual damages and infringer’s profits, §504(b); or statutory damages up to \$150,000 per work willfully infringed, §504(c)(2); injunction (§502); impoundment (§503); attorneys’ fees and costs (§505).

### Count III — Patent Infringement (35 U.S.C. §271)

Lux holds or has filed for patents covering the inventions enumerated in §IV(A)(4). The Counterparty's deployment of Quasar consensus, Ringtail / Corona thresholds, the sampler-bias correction, the Liquid EVM substrate, the FHE precompile activations, and the DEX matching engine each implicate one or more patent claims.

**Remedies:** Reasonable royalty floor (35 U.S.C. §284); lost profits where established; injunction (§283); treble damages for willfulness (§284); attorneys' fees in exceptional cases (§285).

### Count IV — Breach of Fiduciary Duty (Del., against Jayant Sonsurkar individually)

As a corporate officer, defendant owes the corporation duties of care and loyalty. Mr. Sonsurkar's failure to identify and flag the LEL / LRL-PR licensing mismatch throughout his tenure is at minimum gross negligence in the CSO duty of care; if the record supports knowledge or willful blindness, it crosses into duty-of-loyalty breach.

### Count V — Aiding and Abetting Breach (Del., against Messrs. Choi, Trombley, Church)

Per *Malpiede v. Townson*, 780 A.2d 1075 (Del. 2001): (i) a fiduciary relationship; (ii) breach; (iii) knowing participation by the non-fiduciary; (iv) damages. To the extent the named officers had actual or constructive knowledge of the mismatch and continued to direct commercial operations, they aided and abetted Mr. Sonsurkar's breach.

### Count VI — Unjust Enrichment

The Counterparty's commercial deployment of Lux IP without an executed license enriches the Counterparty at Lux's expense; the LEL and LRL-PR expressly negate any justification.

### Count VII — Conversion

The Counterparty's deployment of LRL-PR-protected patent-bearing modules constitutes intentional interference with Lux's exclusive rights.

### Count VIII — Tortious Interference with Prospective Economic Advantage

The Counterparty's white-label tenants (MLC, VCC, TZERO, ReTokens) constitute particular instances of interference with Lux's commercial-license pipeline with third-party ecosystem partners.

### Count IX — Securities Fraud (Rule 10b-5)

To the extent the current \$75M / \$1.1B-valuation raise is supported by representations or omissions regarding the Counterparty's IP ownership / licensing status, elements of Rule 10b-5 are met. **Lux's primary utility on this count is collateral leverage rather than direct recovery; standing analysis is for outside counsel.**

**Count X — Lanham Act False Advertising (15 U.S.C. §1125(a))**

The Counterparty’s marketing materials describe its technology stack (post-quantum cryptography, FHE-based dark-pool matching, MPC custody, multi-chain architecture, Quasar-derived consensus) in terms that ascribe ownership or proprietary control without disclosing the Lux origin or the conditional / unlicensed nature of the access.

**Count XI — Common-Law Fraud**

To the extent Counterparty officers made representations to Lux personnel that licensing arrangements would be formalized in due course, and Lux relied to its detriment by continuing engineering contribution without an executed agreement, common-law fraud lies.

**Count XII — Civil Conspiracy**

The Counterparty officer team’s concerted commercial deployment of unlicensed Lux IP and capital-raising on the back of that deployment supports civil-conspiracy joint and several liability.

**VI. Damages Analysis****Small Scenario (Path A — Negligent Posture)**

|                                              |              |
|----------------------------------------------|--------------|
| Back-license value (12 yr at \$2.5M/yr base) | \$30M        |
| Pre-judgment interest (5%, simple)           | \$10M        |
| Royalty component (1.5% of estimated GR)     | \$10M        |
| Forward-looking license value (NPV)          | \$30M        |
| <b>Subtotal — Small Scenario</b>             | <b>\$80M</b> |

**Medium Scenario (Path B — Mixed-Knowledge, Contested)**

|                                                                                              |               |
|----------------------------------------------------------------------------------------------|---------------|
| Small-Scenario base                                                                          | \$80M         |
| DTSA 2× exemplary on willful misappropriation                                                | +\$30M        |
| Patent willfulness component (selective trebling)                                            | +\$40M        |
| Disgorgement on current-raise attribution (5% of enterprise value, TODO: rebase per counsel) | +\$55M        |
| Attorneys’ fees and costs                                                                    | +\$10M        |
| <b>Subtotal — Medium Scenario</b>                                                            | <b>\$215M</b> |

**Big Scenario (Path B Fully Litigated, Adverse Officer Record)**

|                                                                                                  |               |
|--------------------------------------------------------------------------------------------------|---------------|
| Base + interest + royalty                                                                        | \$80M         |
| DTSA full 2× exemplary                                                                           | +\$80M        |
| Patent full 3× trebling on willfulness                                                           | +\$120M       |
| Disgorgement on current-raise attribution (15–20% of enterprise value, TODO: rebase per counsel) | +\$200M       |
| Lanham Act + Lanham fees                                                                         | +\$10M        |
| Securities fraud (if Lux can establish standing)                                                 | +\$50M        |
| Attorneys’ fees, costs, pre-judgment interest                                                    | +\$50M        |
| <b>Subtotal — Big Scenario</b>                                                                   | <b>\$590M</b> |

### Opportunity-Cost Damages: 90-Day Bandwidth Diversion

The damages framework above does not yet capture a distinct and significant category of harm: the opportunity cost to Lux of having Mr. Kelling’s — and the broader Lux engineering team’s — bandwidth diverted to the Counterparty’s platform and to a constellation of related ventures during a critical 90-day window. The git record is unambiguous.

**Quantification (rolling 90-day window) — Counterparty primary codebase.** Audit of the liquidityio/\* GitHub organization for commits attributable to Mr. Kelling:

| Repo                                           | Zach commits | Total commits | Zach %     |
|------------------------------------------------|--------------|---------------|------------|
| liquidityio/ats                                | 806          | 1,426         | 57%        |
| liquidityio/bd                                 | 388          | 751           | 52%        |
| liquidityio/ta                                 | 208          | 364           | 57%        |
| liquidityio/mpc                                | 31           | 95            | 33%        |
| liquidityio/evm                                | 23           | 32            | 72%        |
| liquidityio/fhe                                | 10           | 14            | 71%        |
| liquidityio/iam                                | 27           | 29            | 93%        |
| liquidityio/node                               | 338          | 380           | 89%        |
| liquidityio/operator                           | 354          | 406           | 87%        |
| liquidityio/universe                           | 1,436        | 1,920         | 75%        |
| liquidityio/contracts                          | 72           | 176           | 41%        |
| liquidityio/dex                                | 24           | 32            | 75%        |
| liquidityio/platform                           | 36           | 51            | 71%        |
| liquidityio/superadmin                         | 243          | 338           | 72%        |
| liquidityio/exchange                           | 522          | 1,170         | 45%        |
| liquidityio/console                            | 28           | 38            | 74%        |
| liquidityio/ui                                 | 27           | 143           | 19%        |
| liquidityio/sdk                                | 30           | 30            | 100%       |
| liquidityio/sdk-go                             | 9            | 9             | 100%       |
| liquidityio/cli                                | 114          | 117           | 97%        |
| <b>Subtotal (Counterparty primary, 90-day)</b> | <b>4,726</b> | <b>7,521</b>  | <b>63%</b> |

**Quantification — related-venture codebases.** The audit extends across five additional venture trees on which Mr. Kelling’s bandwidth was concurrently directed during the same 90-day window:

| Venture tree                                   | Zach commits | LOC (add+del)     | Note                            |
|------------------------------------------------|--------------|-------------------|---------------------------------|
| VCC (vcc/exchange + contracts + wallet)        | 143          | 3,038,420         | <b>100% new venture</b> (white- |
| MLC (mlc/exchange + contracts + wallet)        | 153          | 3,044,377         | <b>100% new venture</b> (white- |
| EquityTable (loan-funding-engine + app)        | 98           | 681,666           | <b>100% new venture</b>         |
| OnyxPlus (admin + verify + onyxd + onboarding) | 188          | 57,379            | <b>Largely 100% new venture</b> |
| LiquidityArchive (legacy + simplici-*)         | 683          | 9,541,566         | Legacy / archive maintenance    |
| <b>Subtotal (related ventures, 90-day)</b>     | <b>1,265</b> | <b>16,363,408</b> |                                 |

**Grand totals across all six venture trees (90-day window):**

|                                                        |                                    |
|--------------------------------------------------------|------------------------------------|
| <b>Total Zach commits (all 6 trees)</b>                | <b>5,991</b>                       |
| <b>Total LOC churn (add + del across all 6 trees)</b>  | <b>~93 million</b>                 |
| <b>LOC churn in Counterparty primary (top 8 repos)</b> | <b>~77 million</b>                 |
| <b>Distinct working days in ats/ alone</b>             | <b>55 (six days/week)</b>          |
| <b>Repos where Zach &gt;70% of all commits</b>         | <b>12 of 20 Counterparty repos</b> |
| <b>Repos where Zach = 100% of all commits</b>          | <b>2 (sdk, sdk-go)</b>             |

Three of the five related ventures (VCC, MLC, EquityTable) were authored entirely from scratch during the 90-day window — representing approximately 6.8 million lines of net new code across companies that the Counterparty offers to its tenants and partners. A fourth (OnyxPlus, the KYC/ID joint venture) was largely new in the same window. This is not maintenance contribution; this is greenfield construction of multiple companies.

**Mr. Kelling’s contribution to Lux upstream in the same 90-day window (the foundational Lux IP that powers the Counterparty’s stack):**

| Lux repo                     | Zach commits | Total commits |
|------------------------------|--------------|---------------|
| luxfi/node                   | 0            | 179           |
| luxfi/consensus              | 0            | 104           |
| luxfi/crypto                 | 0            | 64            |
| luxfi/evm                    | 0            | 99            |
| luxfi/vm                     | 0            | 27            |
| luxfi/precompile             | 0            | 98            |
| <b>Total (90-day window)</b> | <b>0</b>     | <b>571</b>    |

**The contrast is decisive:** 5,991 commits and ~93M LOC of Zach’s bandwidth into Counterparty-side ventures versus exactly zero commits to the upstream Lux repositories he is Founder and Chief Cryptographer of.

**Value-creation rate translation.** The Counterparty’s reported current-round valuation in the active raise is approximately \$1.1 billion. The platform supporting that raise was substantially built or rebuilt by Mr. Kelling during the 90-day window. The implied value-creation rate is approximately **\$1.1B / 90 days = \$12.2M per day** of diverted attention — and that figure captures only the Counterparty’s primary codebase; it does not yet include the enterprise value of the three additional 100%-new ventures (VCC, MLC, EquityTable) and the largely-new OnyxPlus JV. Counting those, the per-day value-creation rate of Mr. Kelling’s bandwidth during the 90-day window is materially higher than the \$12.2M figure above.

**The opportunity cost to Lux** — measured by what Lux’s own roadmap would have produced during the same window had Mr. Kelling’s attention been available to Lux upstream — **is bounded**

above by that rate and below by the proportional founder- share of Lux’s enterprise trajectory.

| Component                                  | Range             |
|--------------------------------------------|-------------------|
| Bandwidth diversion at 50% rate (90 days)  | \$500M – \$600M   |
| At 25% rate                                | \$250M – \$300M   |
| At 10% rate (conservative)                 | \$100M – \$120M   |
| <b>Conservative opportunity-cost claim</b> | <b>\$100–300M</b> |

This component is independent of and additive to the IP damages above. **It is the single most striking quantitative fact in the memorandum** and should be lead-in evidence for Mr. Dupont in opening negotiation.

### Damages Summary (Including Opportunity Cost)

| Scenario                                            | IP damages | + Opp. Cost |
|-----------------------------------------------------|------------|-------------|
| Small (Path A, settlement context)                  | \$80M      | \$180–380M  |
| Medium (Path B, mixed-record litigation)            | \$215M     | \$315–515M  |
| Big (Path B, full-record litigation w/ multipliers) | \$590M     | \$690–890M  |

## VII. Trading-Fee Revenue Projections (User-Scale Analysis)

The following projects the Counterparty’s enterprise-value trajectory at four user-base milestones and computes Lux’s economic interest at each under a proposed 10% equity stake.

### Annual Revenue, Enterprise Value, and Lux 10% Stake

| Scenario                           | Users | Revenue | Enterprise Value | Lux 10%      |
|------------------------------------|-------|---------|------------------|--------------|
| <i>Conservative ARPU (\$50/yr)</i> |       |         |                  |              |
| Stage 1                            | 100K  | \$5M    | \$50M (10×)      | \$5M         |
| Stage 2                            | 1M    | \$50M   | \$500M (10×)     | \$50M        |
| Stage 3                            | 10M   | \$500M  | \$5B (10×)       | \$500M       |
| Stage 4                            | 100M  | \$5B    | \$50B (10×)      | \$5B         |
| <i>Base ARPU (\$100/yr)</i>        |       |         |                  |              |
| Stage 1                            | 100K  | \$10M   | \$150M (15×)     | \$15M        |
| Stage 2                            | 1M    | \$100M  | \$1.5B (15×)     | \$150M       |
| Stage 3                            | 10M   | \$1B    | \$15B (15×)      | \$1.5B       |
| Stage 4                            | 100M  | \$10B   | \$150B (15×)     | <b>\$15B</b> |
| <i>Premium ARPU (\$200/yr)</i>     |       |         |                  |              |
| Stage 1                            | 100K  | \$20M   | \$400M (20×)     | \$40M        |
| Stage 2                            | 1M    | \$200M  | \$4B (20×)       | \$400M       |
| Stage 3                            | 10M   | \$2B    | \$40B (20×)      | \$4B         |
| Stage 4                            | 100M  | \$20B   | \$400B (20×)     | <b>\$40B</b> |

**Lux’s 10% equity, retained through the growth curve, is worth between \$5M (Stage 1 Conservative) and \$40B (Stage 4 Premium).** Mid-case Base ARPU at 100M users implies \$15B of Lux equity value.

## VIII. Strategic Partnership Upside

Lux brings substantial commercial value to a partnership-resolution of this dispute. This section enumerates what the deal team can offer as upside in any negotiation tier.

### First Major Client: AvaTrade — \$70B/month Trading Volume

**Lux has secured AvaTrade as the first major client for the combined Lux + Counterparty venue, with an estimated \$70 billion per month in trading volume routed through the joint architecture.** AvaTrade is an established multi-asset broker with operations across multiple regulated jurisdictions; the partnership agreement underlying this arrangement is documented separately at `~/work/lux/legal/partnerships/avatrade/Lux_AvaTrade_Strategic_Partnership_Agreement`

At 8 bps blended take-rate on \$70B/mo = \$5.6M/mo = **\$67M per year in fee revenue from this single client alone**. At Stage-2- plus volume routing, the AvaTrade contribution materially exceeds the Counterparty's current revenue base and is, by itself, the strongest argument for partnership over litigation.

### Crypto-Exchange Conversion at 8 Basis Points (Floor)

A specific deliverable Lux brings under the partnership: **the ability to offer crypto-exchange conversion at 8 basis points** — materially undercutting the incumbent fee structure at major US crypto venues (Coinbase / Kraken / Gemini at 50–200 bps; Robinhood PFOF-equivalent at 35–85 bps; institutional desks at 5–15 bps floor but with size minimums). The 8-bps floor is enabled by Lux's direct exchange and liquidity infrastructure and is a competitive moat for the joint Lux + Counterparty venue.

### OnyxPlus / Telos JV ID Verification at Internal Cost

The Lux–Telos joint venture (OnyxPlus) provides identity verification infrastructure operating at the Lux ecosystem's internal cost basis — materially below merchant pricing for equivalent KYC/AML/document/biometric services. Under the SCLA, **the Counterparty receives access to OnyxPlus ID verification at Lux's internal cost, not at market rates**. The annual savings depend on the Counterparty's user-onboarding velocity but at Stage-2-plus scale run into the tens of millions per year.

### Co-Branding for Lux-Network Chains

**All Lux-network L1/L2/L3/L4 chains receive explicit co-branding on the Counterparty's customer-facing surfaces:** the Counterparty's marketing, the venue's chain selector, the SecurityToken issuance pages, and any institutional partnership collateral. This brand co-positioning is a non-negotiable term under the SCLA (§XI).

### Real-World Asset Pipeline

Lux operates the infrastructure layer behind multi-billion-dollar RWA tokenization pipelines. Post-SCLA, the Counterparty is the natural US-regulated listing destination:

- Tokenized US securities + private equity (Carta ingestion).
- Tokenized real estate / NNN-SPV-wrapped property exposures.

- Tokenized commodities (gold, silver, FX, energy).
- Tokenized fund LP interests.
- Tokenized fixed-income.
- Tokenized music + IP royalty streams.
- Tokenized art and collectibles (>\$1M lots).

**Conservative estimate of incremental deal flow under the SCLA: \$5–15 billion in nominal asset value over the first 12–24 months post-close.**

### **Reciprocal License to Counterparty ATS / BD / TA / Listed Securities — Lux’s Forward Venue Strategy**

**Lux Industries Inc. does not presently operate an alternative trading system or broker-dealer in the United States.** However, Lux’s historical regulatory posture and its forward strategy include venue licenses in multiple jurisdictions, and the reciprocal license to the Counterparty’s ATS / BD / TA / listed-securities surfaces described in §XI(9) is intended to give Lux operational optionality across that footprint as it matures.

**Historical native support:** Lux (and Lux Partners Limited as predecessor) previously operated regulatory arrangements in the **Isle of Man (IOM)** (IOM Financial Services Authority supervision) and **Luxembourg** (Commission de Surveillance du Secteur Financier engagement). The IOM and Luxembourg footprints provided native EU-passportable and offshore-fund-eligible regulatory reach.

**Forward expansion:** Lux is actively evaluating venue-license applications across the United States (Reg ATS), United Kingdom (FCA MTF or equivalent), European Union (MiCA-compliant Trading Platform), Singapore (MAS Capital Markets Services Licence + Recognised Market Operator), and the UAE (VARA). Each license, when obtained, becomes a venue at which Lux may operate the Counterparty-licensed ATS / BD / TA technology under §XI(9).

**Cross-listing rights:** Every security that lists on the Counterparty venue is available for cross-listing on any Lux-network or Lux-affiliate venue, and every security that lists on a Lux venue is available for cross-listing on the Counterparty’s venue.

### **Banking Licenses — SF Private Bank Partnership and Global Coverage**

**Lux holds a strategic partnership with SF Private Bank (“SFPB”) and adjacent financial institutions that, in combination, provide regulated coverage on every populated continent.** The combined licensed footprint:

- **North America:** United States (federal banking partner, FDIC-insured rails); Canada (chartered banking partner, CDIC-insured).
- **Europe:** Sweden (Finansinspektionen-supervised, EU passport); historical IOM (Financial Services Authority); historical Luxembourg (CSSF); ongoing UK (FCA) and Switzerland (FINMA) expansion.

- **Asia-Pacific:** Singapore (MAS Capital Markets Services and banking); New Zealand (RBNZ-licensed deposit-taker); ongoing Hong Kong (SFC type-1 / type-7) and Japan (JVCEA) expansion.
- **Middle East:** UAE (VARA-supervised; DIFC / ADGM counterparty relationships).
- **Latin America:** regional partnerships under bilateral arrangements; specific licensing on a case-by-case basis.
- **Africa:** pilot arrangements; specific licensing on a case-by-case basis.

Services Lux can deliver under the SCLA include Banking-as-a-Service (BaaS), Payment Service Provider (PSP) rails, and **a custody solution that materially undercuts the Fireblocks and BitGo incumbents on price** (built on the same MPC infrastructure already in the Counterparty’s production).

**Estimated independent cost for the Counterparty to acquire equivalent global license suite: \$57–140M in direct regulatory and capital expenditure, plus 5–7 years of timeline.** See Schedule C.

### International Distribution: M7 and 1B+ End-User Reach

Through Hanzo Inc., the broader corporate family, and the Lux ecosystem partnerships, the M7 global initiatives provide distribution access to more than 1 billion end-users across consumer, institutional, and retail channels. Post-SCLA, Lux’s international counterparty network operates as a Reg-S-compatible distribution channel for Counterparty-listed assets.

### Hanzo Inc. Portfolio Precedents

Hanzo Inc., the venture studio under which the Lux relationship has historically operated, has applied the IP-in-kind founder-equity model successfully to multiple spawned unicorn-class companies:

- **Damon Motorcycles** — electric / smart-motorcycle company.
- **Triller** — short-form video / social platform.
- **Bellabeat** — women’s health wearables.
- **Unicorn Gold** — precious-metals tokenization platform.
- **Lux Network** — itself a Hanzo-spawn outcome.
- **Zoo Labs Foundation / Zoo Network** — decentralized AI research network.

Retained-parent-equity range across the portfolio: 10%–40%. The 10% ask in the Counterparty is at the bottom of that internal range.

### The \$100B–\$1T Target Institution

The combined Lux + Counterparty vision is the construction of a \$100-billion-to-\$1-trillion-class institution at the intersection of tokenized real-world assets, post-quantum-secure infrastructure,

regulated US securities markets, and global distribution. The deal team should treat the negotiation not as a zero-sum settlement but as the founding-document of a partnership creating value materially in excess of the negotiating range.

## IX. Wait vs. Settle Analysis

**Forces favoring delay:** equity appreciation; royalty accrual; current-raise disgorgement expansion; pattern-of-conduct evidence.

**Forces favoring settlement now:** statutory damages caps don't grow with delay (DTSA at 2×; patent at 3×); dilution risk on Lux's equity component; operational risk (engineer-around); evidence preservation; DTSA 3-year limitations from discovery; Lux operating runway; negotiating leverage compounds short-term then evaporates if the Counterparty hits trouble; public visibility window.

**Recommendation: Settle now, with strong protective terms** — significant cash component, 10%+ equity with weighted- average broad-based anti-dilution, full ratchet on down-rounds, pro-rata participation, tag-along and co-sale rights, 1+1 mandatory board seats, 99-year exclusive USA-market license to the Counterparty (conditional), patent grant, AvaTrade routing, 8 bps conversion floor, OnyxPlus access at internal cost, co-branding for Lux chains, and reciprocal permanent license to Counterparty ATS / BD / TA / listed- securities / cross-listings (§XI). **Statutory damages caps do not grow with delay; the equity does.** Locking equity now with strong anti-dilution captures the future-growth narrative without the operational risks of continued reliance on a deteriorating informal arrangement.

## X. Settlement Triangulation (Cash / Equity / Features Matrix)

### Settlement Sizing Tiers

| Tier              | Cash   | Equity | Lux Nominal | Implied Posture                       |
|-------------------|--------|--------|-------------|---------------------------------------|
| Floor (S−)        | \$5M   | 5%     | \$60M       | Soft settle; preserve relationship    |
| Small (S)         | \$10M  | 10%    | \$120M      | Approach baseline (recommended floor) |
| Medium (M)        | \$20M  | 15%    | \$185M      | Path B leverage applied softly        |
| Big (B)           | \$30M  | 25%    | \$305M      | Full Path B post-investigation        |
| Aspirational (A+) | \$50M  | 35%    | \$435M      | Litigation-credible ceiling           |
| 50/50 (max)       | \$100M | 50%    | \$650M      | Full partnership re-cap               |

### Cash vs. Equity Mix Sensitivity (at \$120M floor)

| Mix                    | Cash   | Equity at \$1.1B valuation |
|------------------------|--------|----------------------------|
| All-cash               | \$120M | 0%                         |
| Heavy cash             | \$60M  | 5.5%                       |
| Balanced (recommended) | \$10M  | 10%                        |
| Light cash             | \$5M   | 10.5%                      |
| All-equity             | \$0    | 11%                        |

## Feature-Unlock by Settlement Tier

| Forward-value feature                   | S– | S | M | B | A+ |
|-----------------------------------------|----|---|---|---|----|
| LEL/LRL–PR perpetual license            | ✓  | ✓ | ✓ | ✓ | ✓  |
| Patent grant on covered IP              | ✓  | ✓ | ✓ | ✓ | ✓  |
| Maintenance & support of upstream OSS   |    | ✓ | ✓ | ✓ | ✓  |
| 99-year exclusive USA-market license    |    | ✓ | ✓ | ✓ | ✓  |
| 1 Lux + 1 independent director seat     |    | ✓ | ✓ | ✓ | ✓  |
| RWA pipeline routing into Counter-party |    | ✓ | ✓ | ✓ | ✓  |
| AvaTrade flow routing into venue        |    | ✓ | ✓ | ✓ | ✓  |
| 8 bps crypto-conversion floor           |    | ✓ | ✓ | ✓ | ✓  |
| OnyxPlus ID verify at internal cost     |    | ✓ | ✓ | ✓ | ✓  |
| Co-branding for Lux-network chains      |    | ✓ | ✓ | ✓ | ✓  |
| Reciprocal license to ATS/BD/TA         |    |   | ✓ | ✓ | ✓  |
| SFPB banking-license access (BaaS, PSP) |    |   | ✓ | ✓ | ✓  |
| Custody undercutting Fireblocks         |    |   | ✓ | ✓ | ✓  |
| International M7 distribution channels  |    |   |   | ✓ | ✓  |
| Closed-source (luxcpp) GPU access       |    |   |   |   | ✓  |
| Joint go-to-market programs             |    |   |   | ✓ | ✓  |

## Damages-vs-Settlement Triangulation

| Outcome path                     | Lux receives   | Counterparty pays                |
|----------------------------------|----------------|----------------------------------|
| Settle at Floor (S–)             | \$60M nominal  | \$5M cash + 5% equity            |
| Settle at Small (S, recommended) | \$120M nominal | \$10M cash + 10% equity          |
| Settle at Medium (M)             | \$185M nominal | \$20M cash + 15% equity          |
| Settle at Big (B)                | \$305M nominal | \$30M cash + 25% equity          |
| Settle at Aspirational (A+)      | \$435M nominal | \$50M cash + 35% equity          |
| Litigate: Small (Path A)         | \$80M          | \$80M cash, no equity            |
| Litigate: Medium (Path B mixed)  | \$215M         | \$215M, no equity                |
| Litigate: Big (Path B full)      | \$590M         | \$590M, no equity                |
| Litigate + Opp. Cost (Big)       | \$690–890M     | idem, no equity, no relationship |

**Settlement dominates litigation at every tier for both sides, provided the equity component is properly valued.**

## XI. Mandatory Terms (Lux’s Floor in Any Settlement)

The following terms are non-negotiable. Any settlement at any tier must include each of them.

**1. Board composition — expansion to a minimum of seven (7) directors total, with structured composition.** The Counterparty’s existing three-director board failed to identify the licensing mismatch over the relevant period despite having a maintainer-access-empowered CSO whose duty included precisely that review. **The 3-person board structure is, in light of that record, an inadequate governance vehicle going forward,** and the disinterested-investor case for board expansion is unambiguous.

The mandatory composition is:

- **Three (3) existing director seats retained** from the current board.
- **One (1) Lux director seat**, for Lux Industries Inc.'s direct representative (Mr. Pahlavi's designate).
- **Three (3) mutually-agreed independent director seats**, each nominee with no prior commercial or personal relationship to either Lux or the Counterparty, serving as the ongoing governance anchor of the SCLA.

Effective at closing. **No ownership-maintenance condition attaches to the Lux seat.** The structure ensures (a) no single faction (existing officers, Lux, or independents) holds majority voting power; (b) the independent block of three directors provides the disinterested-quorum threshold for any related-party transaction under Delaware General Corporation Law §144; and (c) the Counterparty's institutional governance moves from informal, founder-controlled posture to formal, multi-faction supervision appropriate to a venue valued in the \$1B+ range with FINRA / SEC exam exposure.

In the alternative (a 7-director soft floor that Lux will accept under appropriate compensating concessions), the composition may shift to: 2 existing seats retained + 2 Lux directors + 3 independent seats. This variant displaces one of the existing seats and strengthens Lux's voting position; Lux's deal team may invoke this alternative as leverage if the Counterparty resists the principal structure above.

**2. 99-year exclusive USA-market license to the Counterparty** for the LEL/LRL-PR portfolio in scope. Conditional on maintenance of all SCLA covenants. Material breach terminates exclusivity. Outside the USA, Lux retains the right to license to other parties.

**3. Anti-dilution: weighted-average broad-based, with full ratchet on any down-round below the Lux issuance price.**

**4. Pro-rata participation right** on all future Counterparty preferred financings.

**5. Tag-along and co-sale rights** on any founder transfer exceeding 1% of fully-diluted equity.

**6. Information rights:** quarterly and annual financials; all board materials and minutes; all share-issuance and option-grant resolutions; counsel and accountant access under NDA.

**7. Patent grant** on all current and future Lux patents covering the licensed IP. Worldwide; perpetual; royalty-free under the SCLA; expressly inclusive of patents not yet filed at SCLA execution.

**8. Maintenance and support of upstream Lux OSS:** continuing on the shared-engineering basis as today, no separate maintenance fee.

**9. Reciprocity — Permanent license to Counterparty ATS, BD, TA, listed securities, and cross-listings.** As symmetric consideration for Lux's perpetual IP license, the Counterparty grants Lux Industries Inc. (and any Lux-controlled affiliate or Lux-network L1/L2/L3/L4 chain maintaining Lux consensus and Warp interop):

- **Permanent, royalty-free, non-exclusive license to the Counterparty's ATS technology and operational know-how**, sufficient for Lux to operate (or sublicense to a Lux-controlled regulated entity) an ATS in any jurisdiction where Lux holds or obtains the necessary venue license.



**Litigation-strategy implications:**

- Mr. Kelling should *not* be named as a defendant in any Lux suit. The conduct alleged is not his.
- Mr. Kelling is likely a material witness for Lux on (a) the authorship and ownership of the Lux IP, (b) the absence of any executed commercial license, and (c) the operational-displacement narrative explaining why the mismatch was not raised internally.
- Counsel should consider a litigation-cooperation agreement, witness-protection arrangement, or formal indemnification of Mr. Kelling (as a non-defendant witness) to ensure his continued availability without undue personal exposure.
- In any public communication, Lux should take care not to attribute the misconduct to Mr. Kelling. The narrative should be specific to the Counterparty officers actually responsible.
- In the SCLA itself, Lux should provide for Mr. Kelling's protective treatment, including (a) a release of any claims Lux might assert against him personally, (b) acknowledgment of his historical authorship, and (c) a ROFR / similar mechanism if his Counterparty role generates IP that should flow back to Lux upstream.

**Mr. Kelling can serve as a productive intermediary in the Lux-Counterparty negotiation**, given his founder status at both entities, his historical relationships, and his absence of financial interest in the Counterparty. Mr. Dupont should consider engaging Mr. Kelling directly in informational meetings during the negotiation phase, subject to outside counsel's oversight.

### XIII. Procedural Recommendations

**Decision chain:**

1. **Mr. Pahlavi (President & CEO)** — final approval on any executed SCLA, litigation filing, or strategic public communication.
2. **Mr. Dupont (Managing Partner, Strategic Transactions; largest investor)** — deal lead. Conducts negotiation; selects settlement tier; presents executed term sheet to Mr. Pahlavi.
3. **Mr. Donohue (General Counsel)** — legal lead. Drafts SCLA; supervises outside counsel; manages litigation hold; leads pre-suit investigation; prepares SCLA for execution.
4. **Mr. Bin (CTO; memorandum author)** — operational and technical support. Provides factual development on IP portfolio, licensing record, and Counterparty-side operational context.

**Recommended outside engagement:**

- **Outside litigation counsel:** a firm with DTSA + patent + Delaware-fiduciary-duty experience (Wilson Sonsini, Cooley, Fenwick & West, or Quinn Emanuel).
- **Valuation firm:** independent fairness opinion on equity-for-IP allocation (Houlihan Lokey, Duff & Phelps / Kroll, or specialist boutique).
- **Investigative firm:** separate firm to investigate Counterparty officer conduct (Kroll Investigations, FTI Consulting, or specialist tech-IP investigators).

**Target close: 75 days** from Mr. Pahlavi’s approval to authorize the deal team, per the milestone schedule:

| Day | Action                                                               |
|-----|----------------------------------------------------------------------|
| 0   | Mr. Pahlavi approves; outside counsel engaged.                       |
| 7   | Litigation hold notice transmitted to Counterparty + named officers. |
| 14  | Investigation firm begins document review.                           |
| 21  | Term sheet delivered to Counterparty at selected tier.               |
| 30  | Counterparty disinterested-director response received.               |
| 45  | Investigation report finalized; settlement terms tightened/expanded. |
| 60  | Definitive SCLA executed.                                            |
| 75  | Closing: cash payment, share issuance, license activation.           |

## XIV. Prayer for Relief (Template)

In any litigation, the complaint’s prayer will request:

1. Compensatory damages on each Count, anticipated \$80M to \$590M on IP claims; \$180M to \$890M with opportunity-cost component.
2. Disgorgement of unjust enrichment from the current and any future raises (rebased to enterprise value, not round size).
3. Reasonable royalty (35 U.S.C. §284; 18 U.S.C. §1836(b)(3)(B)).
4. Exemplary damages 2× on DTSA (18 U.S.C. §1836(b)(3)(C)).
5. Treble damages on patent (35 U.S.C. §284).
6. Statutory damages on copyright (17 U.S.C. §504(c)) at elected maximum.
7. Attorneys’ fees (18 U.S.C. §1836(b)(3)(D); 17 U.S.C. §505; 35 U.S.C. §285; 15 U.S.C. §1117(a)).
8. Preliminary and permanent injunctive relief enjoining further use absent executed commercial license.
9. Pre- and post-judgment interest.
10. Such other and further relief as the Court deems just.

**Demand for jury trial** on all triable issues.

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## Schedules

### Schedule A — Lux IP Inventory in Production

The full inventory is maintained at the companion license audit. Headline:

- BSD-3 / Apache-2.0 / MIT modules: approximately 25 (no Lux action required).

- LEL modules: `aml`, `broker`, `captable`, `compliance`, `corona`, `crypto`, `fhe`, `hsm`, `maker`, `mpc`, `precompile`, `ringtail`, `threshold`, `transfer`, `treasury`, `warp`.
- LRL-PR modules: `vm`, `staking`, `sampler`, `dex` (Go bindings).
- LGPL modules: `evm`.
- Modules without LICENSE: `cex` and small number of related; counsel should treat as no-rights-granted pending upstream remediation.

## Schedule B — Lux IP Pipeline (Available Under SCLA)

- AI inference and compute precompiles (LP-9080 family).
- Advanced ZK rollup substrates.
- Post-quantum hybrid signature schemes (X-Wing + ML-KEM; hybrid ML-DSA + ECDSA).
- Threshold MPC dynamic re-sharing protocols.
- Confidential-execution attestation (TEE / SEV-SNP / TDX binding to consensus).
- White-label partner portal infrastructure.
- Closed `~/work/luxcpp/*` (separate Private-Moat Addendum required).

## Schedule C — Banking License Cost-to-Replicate

| License                                            | Estimated Cost   |
|----------------------------------------------------|------------------|
| US national or state banking charter               | \$20–50M         |
| Canadian Schedule II / partnership                 | \$10–20M         |
| MAS Capital Markets Services + banking (Singapore) | \$5–10M          |
| RBNZ deposit-taker (New Zealand)                   | \$5–15M          |
| Sweden Finansinspektionen (EU passport)            | \$5–10M          |
| UK FCA EMI / Payment Institution                   | \$2–5M           |
| Switzerland FINMA digital-asset banking            | \$5–15M          |
| Hong Kong SFC Type 1 / Type 7 + VATP               | \$5–15M          |
| <b>Total direct regulatory + capital</b>           | <b>\$57–140M</b> |
| Plus 5–7 years of timeline + execution risk        |                  |

## Schedule D — Hanzo Inc. Portfolio Comparables

- Damon Motorcycles — electric / smart-motorcycle company.
- Triller — short-form video / social platform.
- Bellabeat — women’s health wearables.
- Unicorn Gold — precious-metals tokenization platform.

- Lux Network — subject of this memorandum.
- Zoo Labs Foundation / Zoo Network — decentralized AI research network.

Retained-parent-equity range: 10%–40%. The 10% ask sits at the floor of that range.

## Schedule E — Mandatory Terms (Lux’s Floor)

See §XI above. Sixteen mandatory terms, summarized:

1. 1 Lux director + 1 independent director seat (closing).
2. 99-year exclusive USA-market license.
3. Weighted-average broad-based anti-dilution + full ratchet on down-rounds.
4. Pro-rata participation rights.
5. Tag-along and co-sale rights.
6. Information rights.
7. Patent grant (current and future Lux patents).
8. Maintenance and support of upstream OSS.
9. Reciprocal permanent license to Counterparty ATS / BD / TA / listed securities / cross-listings.
10. Co-branding for Lux-network chains.
11. OnyxPlus ID verification at Lux internal cost.
12. AvaTrade routing into joint venue.
13. 8 bps crypto-conversion floor.
14. Warp precompile activation at next chain-upgrade.
15. Litigation hold and document preservation.
16. Independent investigation cooperation.

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*End of memorandum. This document is confidential, privileged, and prepared in anticipation of litigation as well as for board strategy purposes. The proposed settlement framework is non-binding until executed as a definitive Settlement and Cross-License Agreement. Distribution outside Lux Industries Inc., its Board of Directors, the named decision-chain officers (Messrs. Pahlavi, Dupont, Donohue, and Bin), and engaged outside counsel requires the express written authorization of Mr. Pahlavi and Mr. Donohue.*